

24LBCV00977 24LBCV00977

County: los-angeles

Division: Civil Law and Motion

Department: S27

Hearing date: 2026-06-30

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Case Number: 24LBCV00977 Hearing Date: June 30, 2026 Dept: S27

NATURE OF ACTION:

Civil Lawsuit – Motor Vehicle (Personal Injury)

PETITION TO APPROVE COMPROMISE FILED:

2/17/2026 – Petition for Approval of Compromise of Claim or Action
or Disposition of Proceeds of Judgment for Minor or Person With a Disability

NOTICE TO STATE AGENCIES WHEN PROPOSED TRUST IS AN SNT:

When seeking approval to fund a special needs trust (SNT), notice of the hearing and service of the petition must be made upon three state agencies including the Dept. of Mental Health, Dept. of Developmental Services, and Dept. of Health Care Services.
(Probate Code section 3611(c), or 3602(f) if there is a conservatorship of the estate or guardianship of the estate for plaintiff.) A proof of service has been filed on 2/19/2026 indicating service was complete on 2/18/2026.

PLAINTIFF/CLAIMANT:

Marlon Frank Sollecito, DOB: 9/7/1987 – 38 years of age

PETITIONER:

Diana Laurie Sollectito, Parent and Conservator (LASC Case No. 24STPB06840
– Letters issued 6/4/2026)

GROSS AND NET SETTLEMENT (Petition, p. 6, sections 15 and 16f):

Gross Settlement Amount - \$300,000

Net Settlement Amount - \$76,621.95 or \$89,121.95 (Section 15 and 16f should be the same number, but they are not) also, the proposed order has a mismatch of numbers in 8.b. and 8.b.2

PROPOSED RECIPIENT OF SETTLEMENT PROCEEDS (Petition, pp. 8-9, sec. 18):

Petitioner proposes to fund \$12,500 as cash into a SNT for plaintiff's benefit and use the remaining funds to purchase an annuity that would pay into the trust at:

\$850.20 per month starting on 9/5/2026
guaranteed for 9 years ending on 8/5/2023

[\$91,821.60 guaranteed benefits at
cost of \$76,621.95]

A SNT is used to receive the settlement funds in these situations so that plaintiff does not lose benefits eligibility for Medi-Cal, SSI, and other benefits. Currently, a person receiving Medi-Cal can have only up to \$130,000 in non-exempt assets and if receiving SSI benefits could have only up to \$2,000 in non-exempt assets, and any additional non-exempt assets over those amounts would cause the loss of benefits eligibility under the relevant federal and state law. Funds held in a valid SNT, however, are exempt assets that do not count toward the asset limits for purposes of calculating benefits eligibility.

As an initial concern, a SNT should not be used for such a low funding amount. It is widely believed that SNTs funded with under \$100,000 (some say even \$150,000) are economically unviable because the funds will be consumed by trustee and attorney fees, court costs, etc. relating to the costs of establishing the SNT and ongoing accountings or other court proceedings in the Probate Division for court supervision of the SNT. Here, petitioner is seeking to create and fund an individual SNT and not utilizing a

deposit to a pooled SNT which could have mitigated some costs (though for this funding amount even a pooled SNT would be inefficient). The court may wish to discuss alternatives to the establishment of a SNT, such as an immediate spend-down of the settlement proceeds for the benefit of plaintiff without the use of a SNT.

SCOPE OF REVIEW:

This referral to the probate department is limited to the review of the proposed trust instrument and a suggestion of how to move forward regarding administration of the trust.

This memorandum therefore does not address the advisability of the compromise amount/terms or related concerns including attorney's fees and costs.

BRIEFING REGARDING TRUST ISSUES:

Petitioner provides briefing regarding trust issue at Attachment 18a(3)(e), Court's pdf at pp. 57 - 63.

PROPOSED TRUST INSTRUMENT:

Petitioner provides the proposed trust instrument at Attachment 18a(3)(e), Court's pdf at pp. 65 - 92.

The main requirements for court created or funded trusts are set forth at California Rules of Court (CRC) rule 7.903(c) and LASC rule 4.116(b). The proposed trust instrument meets those requirements and is ready for approval of creation and/or funding.

ADDITIONAL REQUESTS FOR RELIEF:

Petitioner makes the following additional requests for relief that are beyond those fundamental to the approval and funding of a trust:

1. Petitioner requests authority for trustee to invest in proprietary funds, mutual funds, and bonds with maturity dates greater than five years to provide for diversification and a higher rate of investment return. (Attachment 18a(3)(e), Court's pdf at p. 57.) This request would provide for a broader investment authority than the statutory baseline and is common when the

trust assets will be large and the investment horizon is long (where plaintiff is fairly young and has an extended life expectancy). Here, the trust assets are very small and there is no information as to the life expectancy of the beneficiary who is currently in a persistent vegetative state with serious and permanent injuries. Court's discretion.

2. Petitioner

requests the court waive bond and accountings for the SNT so long as the requirements of Probate Code 2323(a), 2628(a) and CRC 7.903 are met. (Attachment 18a(3)(e), Court's pdf at p. 59.) Petitioner relies on the initial funding of \$12,500 and monthly annuity payments of \$821.93. However, Petitioner has not taken into consideration the present value of the annuity, which is a Trust asset and therefore the requirements have not been met and both bond and accountings should not be waived.

FINDINGS WHEN THE PROPOSED TRUST IS A SNT:

Whenever a SNT is "established and continued" relating to funding from settlement proceeds, the court must make the following findings pursuant to Probate Code section 3604(b) (there are factual allegations in the Petition to Approve Compromise and its attachments supporting the settlement that generally cover the requisite findings):

The SNT beneficiary has a disability which substantially impairs the individual's ability to provide for her own care or custody and constitutes a substantial handicap;

The beneficiary suffers from respiratory failure, persistent vegetative state, dysfunction of bladder, intracranial injury with loss of consciousness of an unspecified duration and traumatic brain injury

The SNT beneficiary is likely to have special needs that will not be met without the trust;

The beneficiary receives public benefits which would not be available if this trust did not exist

The money to be paid to the trust does not exceed the amount that appears reasonably necessary to meet the

SNT beneficiary's special needs.

The beneficiary's condition will require 24/7 care for the remainder of his life; beneficiary requires special programs and equipment that public benefits do not provide

TRUSTE AND BOND:

The proposed initial trustee is Diana L. Sollecito

Normally, bond must be required of a trustee unless the trustee is a corporate fiduciary/trust company. (California Rules of Court, Rule 7.903(c)(5), Probate Code sections 2320, 15602.) The proposed trustee does not meet that requirement and bond should be required.

Petition does not request or calculate bond.

A proper bond calculation based upon the assets to be funded into the trust, plus anticipated annual income from investments and annuity if relevant, plus an additional amount required for the costs of any recovery on the bond, is \$25,000. If the petition is approved, that bond amount should be required, which will be submitted by trustee to this department (which will later be resubmitted to the Probate court in any trust supervision action).

ORDERS/PROPOSED ORDER:

Proposed Order received stamp date: 2/17/2026

General trust orders are made at Attachment 8b(2)(a), Order pdf at pp 7 – 34 with additional trust orders made at Attachment 13, Order pdf at pp. 36 - 37.

When the petition is approved, this court should require the filing of a Notice of Commencement of Proceedings for a Court Supervised Trust on LASC Form PRO 044 in the Probate division of this court within 60 days (a general statement in the order on the compromise petition that the PRO 044 must be filed in 60 days, or an actual stated calendar date in 60 days, is okay either way).

It is this filing that will pass jurisdiction over the trust to the Probate division of this court to provide for court supervision of the trust over the years. It is in that Probate case that accountings will be filed periodically by trustee, as well as any other petitions involving the trust. Not included, need correction. Recommend also ordering a Notice of Related Case be filed to relate the Conservatorship matter with the newly established Trust matter.

When the petition is approved, this court should also make an order that the trustee's first accounting is due filed in the Probate case within a year, and an actual 14 month calendar due date should be stated. It is that actual date that will be picked up by the Probate filing window when the trust supervision action is filed and an OSC/compliance date re the first accounting will be set. Not included, need correction. Petitioner had requested the accountings be waived, however, as stated above, Petitioner did not take into consideration the present value of the annuity to the Trust and accountings should be ordered.

When the petition is approved, this court should also set an OSC in its own department in approximately 60 days to ensure the funding of the settlement, submission of bond, and the filing of LASC Form PRO 044 to open a trust supervision action in probate. Not included, need correction.

Proposed order contains rulings granting all Additional Requests for Relief as set forth in that section of this memorandum above. (Order pdf at pp. 36 - 37.) If the court denies or grants in part any of those requests then the language granting those requests will need to be stricken or modified. See specifically Additional Orders #9, 12, and 13 on pages 36 – 37)

RECOMMENDATIONS:

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Approve settlement, fees, etc.: Court's discretion

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Approve creation and funding of proposed trust: Yes, if the Court

determines that the establishment of the small SNT is the only way to preserve benefits

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Make the Probate Code section 3604(b) findings: Yes

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Require trustee bond: \$25,000

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Require first trust accounting in one year and set calendar due date for filing in 14 months.

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Set OSC in civil department in approximately 60 days to ensure funding of settlement, submission of bond if required, purchase of annuity if relevant, and filing of LASC Form PRO 044 to open trust supervision action in probate.

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Proposed Order: Okay with dates to be inserted for additional "housekeeping" orders as set forth above.